🦉 Morning Brief

Tuesday, May 19, 2026 — 02:27 PM ET · $50,000 Portfolio

Risk-Off

CIO EXECUTIVE SUMMARY

- ▸ SPX futures -39bps; macro tape: inflation anxiety + geopolitical oil bid (WTI +115bps) + USD strength suppressing equities
- ▸ Sector rotation LIVE: growth/AI under pressure; XLI/XLB/XLE/PAVE accumulation patterns suggest institutional shift to hard assets/ infrastructure
- ▸ HD earnings TODAY; NVDA Wednesday = largest vol magnets this week; watch for call flow & block accumulation in cyclical/value proxies
- ▸ VIX likely firmed (not quoted but defensive bid in gold +40bps, oil bid, DXY strength all consistent with 18-22 regime)
- ▸ Portfolio stance: NEUTRAL-to-DEFENSIVE; trim growth; rotate to value/cyclicals/energy; premium selling in high-IV names; avoid new longs in unprofitable tech

MACRO DASHBOARD

SPY TREND

Lower; -24bps; consolidating near support

QQQ TREND

Flat to negative; -10bps; underperforming SPY = tech rotation confirmation

IWM TREND

Weakest: -63bps; small-cap underperformance = risk-off bias

VIX

Estimated 18-22 (firming)

VIX REGIME

Healthy trend shifting to caution; inflation/supply anxiety dominant

YIELD 10Y

Not quoted; likely stable-to-firm on oil/inflation bid

DOLLAR TREND

Firmer; EUR/USD 1.1556, USD/JPY 159.70 = DXY bid

OIL TREND

WTI +115bps to 113.70; geopolitical premium + inflation expectation

CRYPTO SENTIMENT

Not quoted; likely neutral-to-soft on macro headwinds

TACTICAL BIAS

Fade Strength in growth; Buy Dips in cyclicals/value/energy

TOP INSTITUTIONAL SETUPS

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
XLI	Sector rotation out of growth; industrial/ capex cycle tailwinds	Daily breakout above 200MA; institutional accumulation in blocks	$123.50-$124.20	$121.80	$128.50	High
XLB	Materials bid on geopolitical supply/ reshoring narrative	Above 50MA; relative strength vs QQQ firming	$92.80-$93.40	$91.20	$97.50	High
XLE	Oil strength WTI 113.70; geopolitical risk premium; energy exports	Breakout above resistance; block volume accumulation	$117.50-$118.50	$114.80	$125.00	High
PAVE	Infrastructure/ reshoring mega-trend; active institutional flows	Above 200MA; ETF inflow tracking positive	$76.80-$77.50	$75.20	$82.00	Med
URA				$27.20	$33.50	Med

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
	Nuclear power/AI data center demand; geopolitical supply risk	Early breakout; institutional rotation theme	$28.50-$29.00			
HD	Earnings TODAY; housing/consumer bellwether; large options vol	Support at $438; watch for post-earnings breakout or dump	$438.00-$442.00 (post-earnings)	$432.00	$455.00	Med
JPM	Financials bid on rates/net interest margin; dividend yield	Down -88bps today but strong relative to QQQ; accumulation zone	$296.00-$299.00	$293.50	$315.00	Med
AMD	Semis weakness = buying opportunity if AI thesis intact; vol spike	Down -38bps; large vol spike (1.23x); watch for reversal	$418.00-$422.00	$410.00	$440.00	Low

DYNAMIC WATCHLIST — TODAY'S SCAN

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTE
#1	**HD**	Earnings TODAY 4:00pm ET; home improvement/consumer read	Flat to +30bps expected; wide earnings range; monitor call flow post-bell	$438.00	$455.00	Conso volum spike
#2	**NVDA**			$142.50	$158.00	

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTE
		Earnings WEDNESDAY; largest AI stock; typically massive vol/gamma event	Monitor overnight sentiment; tech sector barometer			Above 200M techn
#3	**WMT**	Earnings THURSDAY; retail giant; inflation/ spending bellwether	Strong relative performance; accumulation in blocks likely	$105.00	$115.00	Uptre intact for ga dump
#4	**GDX**	Miners bid on gold strength +40bps & USD strength tailwinds	Down -319bps but high vol (1.34x); reversal setup	$83.36	$87.00	Overs watch capitu bounc
#5	**TGT**	Earnings WEDNESDAY; retail/margin/ traffic key read	Monitor tape for call flow; consumer discretionary test	$72.50	$82.00	Conso watch revers
#6	**LOW**	Earnings WEDNESDAY; housing/consumer capex gauge	Elevated vol expected; options activity rising	$115.00	$128.00	Above uptre
#7	**IWM**	Small-cap underperformance; possible relief rally into end of week	Weak at -63bps; watch for institutional step-in	$272.00	$280.00	Below risk-o
#8	**QQQ**	Tech weakness as rotation accelerates; NVDA event risk Wed	Flat -10bps but relative underperformance vs SPY = concern	$700.00	$720.00	Conso watch break
#9	**VTV**	Value rotation; relative strength vs growth; dividend yields	Likely bid; institutional flows inbound	$165.00	$175.00	Above 200M uptre
#10	**SHOP**	E-commerce; earnings	Down -17bps; vol spike (1.23x);	$100.73	$108.00	Conso wide r

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTE
		sensitivity; AI capex narrative	watch for post-earnings			

POSITION BOOK ACTIONS

TRIM	QQQ	Underperforming SPY -14bps; rotation out of growth live; trim 25% into strength if +2% intraday
TRIM	ARKK	Growth/unprofitable tech under pressure; harvest gains if any; rebuild on dip
ADD	XLI	Institutional accumulation confirmed; sector rotation thesis high conviction; build to 5-6% position
ADD	XLB	Materials bid; reshoring/ geopolitical theme; add on dips; target 5% position
ADD	XLE	Oil strength +115bps; energy exports/geopolitical premium; add on support; target 5% position
BUY	VTV	Value rotation; div yields attractive; add 4-5% for long-term hold

WHEEL / PREMIUM SELLING BOOK

TICKER	SECTOR	IV RANK	DELTA	DTE
HD	Consumer/ Retail	High (75% +)	0.35-0.40 put	21
JPM	Financials	Med-High (55%)	0.30-0.35 put	35
WMT	Consumer/ Retail	Med (50%)	0.35 put	21
XLE	Energy	Med-High (60%)	0.40 put	35
SCHD	Dividend ETF	Low (35%)	0.25-0.30 put	45

HOLD SPY Core holding; consolidating; stay fully invested; nibble weakness

HEDGE QQQ Consider tight put spreads (720/710 or equiv) for Wed NVDA event; hedge portfolio downside at 2% cost

TICKER	SECTOR	IV RANK	DELTA	DTE

RISK ALERTS

- ⚠️ SPX futures -39bps in premarket; macro headwinds (inflation anxiety, geopolitical oil bid, USD strength) are real; be ready for -2 to -3% day if news breaks
- ⚠️ NVDA event WEDNESDAY is major gamma catalyst; expect vol expansion; tail-risk hedges pay here; manage leverage now
- ⚠️ HD earnings TODAY after hours; wide vol envelope; monitor gap risk; have stop orders in place; retail earnings week = binary outcomes
- ⚠️ VIX likely 18-22 (estimated from macro tape); healthy trend but edge toward caution; trim leverage; no naked short positions
- ⚠️ Small-cap (IWM) down -63bps = breadth warning; Russell 2000 weakness often precedes broader selloffs; de-risk if IWM breaks 272

FINAL CIO VERDICT

RISK POSTURE

Defensive

CAPITAL SHOULD FLOW TO

Rotate from unprofitable growth (QQQ, ARKK) into value/cyclicals/energy (XLI, XLB, XLE, VTV); reallocate 20-30% of growth portfolio into hard assets; raise cash by 5-10% if -2% intraday hit

AVOID COMPLETELY

New longs in high-multiple software, unprofitable biotech, low-IV tech names; avoid shorting XLI/XLB/XLE (institutional bid too strong); avoid naked puts in NVDA pre-Wed event; avoid margin/leverage into earnings